

Insurance gets more complicated in the high-probability quadrants. There is a strong rationale for purchasing this insurance because of the high probability of occurrence; however, the high probability of occurrence makes these policies expensive.

Items in the upper-right quadrant are particularly problematic because adverse events you insure against have both a relatively high probability of occurrence and potential for a huge financial impact. Medical, disability, and long-term care insurance fall into this category. These products tend to be very expensive.

Items in the bottom-right quadrant are more likely to occur but have smaller financial impacts, such as warranties on appliances and electronics and extended warranties on automobiles and other big-ticket items. These policies are small expenses in isolation, but if you need to insure many items, they represent many losing bets that are expensive in sum.

If you're living paycheck to paycheck with no financial cushion, any small mishap can represent an emergency. It's the ultimate catch-22. Those who can least afford insurance are the ones who need it most. If your furnace goes out and you have no heat, that's an emergency. You'd better buy the extended warranty if you can't afford to fix it. A cell phone you rely on for business can be a